NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH (COURT-I) AT CHANDIGARH
(through web-based video conferencing platform)

CP (CAA) No. 30/Chd/Hry/2024
(2nd Motion)
CONNECTED WITH
CA(CAA) No. 24/CHD/HRY/2023
(1st Motion)

Under Sections 230-232 read with Section 234 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

FIM Holdco I Limited
Company registered in Mauritius
having its registered office at:
Level 6, Tower A, 1 Exchange Square, Wall Street
Ebene 72201, Republic of Mauritius
… Transferor Company 1/ Amalgamating Company 1

And

Ariston Investments Sub A Limited
Company registered in Mauritius
having its registered office at:
Level 6, Tower A, 1 Exchange Square, Wall Street
Ebene 72201, Republic of Mauritius
… Transferor Company 2/ Amalgamating Company 2

With

One World Center Private Limited
CIN: U45309HR2019PTC083279
Company registered under the Companies Act 2013
having its registered office at:
Plot No. 422-B, Udyog Vihar,
Phase IV, Village Dundahera, Gurugram
Gurgaon-122016, Haryana
Through its Authorised Representative: Mr. Avinash Jain
… Transferee Company/ Amalgamated Company/ Petitioner Company

And

Their respective Shareholders and Creditors

Order delivered on: 25.02.2025

Coram: Hon'ble Mr. Harnam Singh Thakur, Member (Judicial)
Hon'ble Mr. Umesh Kumar Shukla, Member (Technical)

Present:

For the Petitioners	:	Munisha Gandhi, Senior Advocate, Mr. Vaibhav Sharma, Advocate, Ms. Salina Chalana, Advocate
For the Regional Director	:	Mr. Vinod Sharma, RD in person (Virtually), Mr. Shashi Raj Dara, Joint Director (Virtually),
Registrar of Companies	:	Ms. Kamna Sharma, Mr. Vineet Khatri, Company Prosecutor for Registrar of Companies
For the Income Tax	:	Mr. Yogesh Putney, Senior Standing Counsel

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Umesh Kumar Shukla, Member (Technical)

ORDER

This is a Second Motion Company Petition (hereafter referred to as the **"Petition"**) filed under Sections 230-232 read with Section 234 and other applicable provisions of the Companies Act, 2013 (hereafter referred to as the **"Act"**) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (hereafter referred to as the **"CAA Rules"**) read with the National Company Law Tribunal Rules, 2016 hereafter referred to as the **"NCLT Rules"**) by One World Center Private Limited (hereafter referred to as **"Petitioner Company" or "Transferee Company" or "Amalgamated**

Company") for sanctioning the modified Scheme of Amalgamation of FIM Holdco I Limited (hereafter referred to as the **"Transferor Company 1" or "Amalgamating Company 1"**) and Ariston Investments Sub A Limited (hereafter referred to as **"Transferor Company 2" or "Amalgamating Company 2"**) with the Petitioner Company and their respective Shareholders and Creditors (hereafter referred to as the **"Scheme"**). The said Scheme has been attached as Annexure A-1 of the Petition.

2. The registered office of the Petitioner Company is situated within the State of Haryana, therefore, this Petition is within the jurisdiction of this Tribunal.

3. The Petitioner Company filed First Motion Company Application bearing No.CA(CAA)24/Chd/Hry/2023 (hereafter referred to as the **"Application"**) before this Tribunal, seeking directions for dispensing with the meetings of Equity Shareholders, Secured, and Unsecured Creditors of the Petitioner Company, which was disposed of vide this Tribunal Order dated 11.09.2023, with the directions to dispense with the meetings of Equity Shareholders, Secured and Unsecured Creditors of the Petitioner company for the reasons mentioned in the aforesaid order.

4. Subsequently, the Petitioner Company, vide Diary No. 03500 dated 20.10.2023, filed Company Application bearing CA 197 of 2023, seeking to place on record and seek sanction to the modified Scheme of Amalgamation, which was dismissed by this Tribunal vide order dated 22.04.2024. The relevant extracts of the aforementioned order is reproduced hereunder:

6. In this context, it is noted that the present application being for an inbound merger, the relevant regulations in this regard are quite detailed, and the applicants are mandated under the law to abide by the same. By making a change in the share exchange ratio, the very dynamics of the merger are changed by recognising the fact that in the case of cross border merger, the applicants are the final entities to decide on the details of the merger, and the same has to be carried out within the four corners of the Indian laws.

7. We further note that various compliances were made and the relevant documents and evidence in the same, were submitted in the course of the first motion application. For the sake of discussion, a reference is made to the following documents in the First Motion Application-

> *"i. Certificate from two Directors of the Applicant Company ensuring compliance with the Foreign Exchange Management (Cross Border Merger) Regulations, 2018 (Annexure P-1 of the Application).*
> *xxxxx*
> *v. CA certificate certifying the list of Equity Shareholders of the Applicant Company as on 17.03.2023 alongwith consent affidavits of all the Equity Shareholders, according, their consent to the Scheme of Amalgamation (Annexure P-7 of the Application).*
> *xxxxx*
> *xi. Certificate of the statutory auditors of the Applicant Company confirming the accounting treatment proposed in the Scheme of Amalgamation (Annexure P-25 of the application).*
> *xxxxxx*
> *xiii. Independent auditor's report along with audited financial statements as on 31.03.2022, 31.03.2021 and 31.03.2020 of the Applicant Company (Annexure P-5 Colly of the Application)".*

8. As can be seen, in the original first motion application, the applicants had furnished various certificates regarding compliance with the relevant provision of the companies act 2013, and have also obtained the required approvals. We note that the same has not been done after the present amendment to the scheme whereby the share exchange ratio is substantially altered, as a consequence of the increase in the Authorised Share Capital of the Transferor Company No. 1 & 2. It is pertinent to note that the said change in the share capital of the Transferor Company No. 1 & 2 was prior to the filing of the first motion application, i.e., on 28.04.2023. Therefore, the same should have been included in the first motion application and in the scheme thereof.

9. As the applicants have substantially changed the terms and conditions of the original scheme of amalgamation , we are of the view that they need to furnish the necessary certificates evidencing the compliances with the extant law again. View of such facts, we hold that the present application is incomplete in this regard, and hence the plea for allow modification of the scheme; for permitting the filling of the application/petition and other documents as may be required for the purpose of amendment; to exempt the applicant company from filing the certified copies and true types copies of annexures; and permission to file photocopies is hereby rejected. This bench, however, gives the applicants liberty to file the first motion application again, complete in our respect as required under the relevant provisions of the Companies Act,2013.

10. In view of the above, the present IA is dismissed and disposed of accordingly.

5. The Petitioner Company filed an Appeal titled as Company Appeal(AT) No. 169 of 2024 under Section 421 of the Act before the Hon'ble NCLAT, which allowed the Appeal vide judgment dated 19.07.2024 setting aside the order dated 22.04.2024 of this Tribunal and further allowed the Petitioner Company to file Second Motion Petition. The relevant extracts of the Hon'ble NCLAT judgement are reproduced hereunder:

21. Admittedly the present modification to scheme will not require any further / revised adherence in so far as the regulations for inbound merger are concerned. Further, as per FEMA Notification No. FEMA.389/2018-RB dated March 20, 2018 'Foreign Exchange Management (Cross Border Merger) Regulations, 2018', point *9(1)* states any transaction on account of a cross-border merger undertaken in accordance with these Regulations shall be deemed to have prior approval of the Reserve Bank of India as required under Rule *25A* of the Companies (Compromises, Arrangement and Amalgamations) Rules, 2016. Hence, the proposed modification would also need no additional approval from Reserve Bank of India.

22. Lastly the CA was heard on 04.04.2024 and impugned Order was passed on 22.04.2024 i.e. after a period of almost 6 months from the date of filing of the said CA. An inordinate amount of time has already elapsed for concluding the proceedings before the Ld NCLT. The Ld NCLT in the interest of time and justice, should have considered the deemed approval of the shareholders as stated in their consent affidavits or in the alternate could have issued directions for tendering fresh consent affidavits rather than dismissing the said CA in limine and asking to file First Motion afresh. Filing the first motion application afresh will rather amount to non-compliance of the MCA Circular FNO./7/12/2019/CL-I relevant contents are as under":-.

> *"C. Where the 'appointed date' is chosen as a specific calendar date, it may precede the date of filing of the application for scheme of merger/amalgamation in NCLT. However, if the 'appointed date' is significantly ante-dated beyond a year from the date of filing, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest."*

23 *If the impugned order is allowed to sustain then* the scheme will have to be remodified to reflect such justification which will result into another round of lengthy compliances all of which would have to be undertaken for the third time.

24. Thus, in view of the above facts, the Impugned Order is liable to be set aside and the Appeal with the prayers stands allowed.

25. Pending applications are disposed of.

6. Thereafter, pursuant to the Hon'ble NCLAT's judgment, the Petitioner Company, vide Diary No. 02459 dated 05.08.2024 (refiled on 08.08.2024), has filed the present Petition along with the amended Scheme of Amalgamation.

7. In the Second Motion Petition proceedings, this Tribunal, vide its order dated 09.08.2024, directed the Petitioner Companies to:

(i) advertise the notice of hearing in "The Indian Express" (English) and "Jansatta" (Hindi.

(ii) serve the notice of the Petition on the statutory authorities.

(iii) file an affidavit of service regarding newspaper publication with newspaper clippings as well as service of notices on the authorities specified above.

(iv) file an affidavit stating the objections received from the public pursuant to the publication of a notice of hearing in the newspapers.

8. In compliance of this Tribunal order dated 09.08.2024, the Petitioner Companies filed the:

(i) Compliance affidavit vide Diary No. 02459/01 dated 01.10.2024 (which was taken on record vide this Tribunal Order dated 04.10.2024) stating that:

(a) the notice of hearing was published in "The Indian Express" (English) and "Jansatta" (Hindi) in the State of Haryana on

30.08.2024 and 31.08.2024, respectively (copies of the newspapers are attached as Annexure A-1 to the affidavit).

(b) the notices were served upon the (i) the Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi (hereinafter referred to as the **"RD"**); (ii) Registrar of Companies, NCT of Delhi and Haryana, New Delhi (hereinafter referred to as the **"RoC"**); (iii) Jurisdictional Assessing officer of the Income Tax (hereinafter referred to as the "**IT**") Department of the Petitioner Company; (iv) Jurisdictional Assessing officer of the ITD of the Transferor Company 1 and Transferor Company 2 i.e. International Tax Circle 1(3)(1) and 1(1)(1) (v) Official Liquidator, Chandigarh (hereinafter referred to as the **"OL"**); (vi) ITD, Nodal Officer, Chandigarh; and (g) The Reserve Bank of India (hereinafter referred to as the **"RBI"**) (copies of the notices along with original dispatch/acknowledgement receipts/tracking status attached as Annexure A-2 to Annexure A-7 respectively of the affidavit).

(ii) Compliance affidavit vide Diary No. 002459/02 dated 01.10.2024 (which was taken on record vide this Tribunal Order dated 04.10.2024) stating that the Petitioner Companies have not received any objection from the public or addresses, as mentioned in the notice of hearing till the date of deposing the said affidavit relating to the present Scheme.

9. With regard to direction of this Tribunal vide its Order dated 09.08.2024 regarding notices to the statutory authorities/ regulators etc., the status of replies has been discussed in the following paragraphs.

(I) RD/ RoC

10. The RD filed its report along with the report of the RoC vide Diary No 02459/4 dated 05.11.2024, which was taken on record vide this Tribunal Order dated 20.11.2024.

(i) The para 15 of the RD report has referred to the Para 31 of the observations in the RoC report dated 16.10.2024 and at para 16 of the RD report has mentioned the reply of the Transferee Company vide email dated 19.10.2024, which have been summarised in the Table below:

Observation of the RoC	Reply of the Transferee Company
As per Annexure-A to the Independent Auditor's Report of the Transferee Company for the FY 2022-23, the company has incurred cash losses in the financial year. Amount of cash losses during the financial years is Rs.187.95 million in the current financial year, but had not incurred cash losses in the immediately preceding financial year.	The Petitioner Company owns 'One World Center' at Lower Parel, Mumbai and is engaged in the business of leasing and maintenance of commercial real estate. During the financial year 2022-23, a portion of the building remained vacant, resulting in loss of revenue. The Petitioner Company incurred various fixed and operational costs, which lead to mismatch between cash inflows and outflows, ultimately resulting to a cash loss. The aforesaid cash loss is in ordinary course of its business operations. The above details are factually correct and are not required to be traversed.
This Scheme contains two foreign companies as Transferors and one Indian company as Transferee Company. Hence, it is a Cross-Border Merger, and the Applicant Transferee Company may ensure the applicable	The Transferor Company 1 and 2 are companies incorporated outside India. In terms of Section 234 of the Act and rules made thereunder, a foreign company incorporated in a jurisdiction outside India may merge with an Indian Company after obtaining prior approval from the RBI. As

Observation of the RoC	Reply of the Transferee Company
Compliances related to the provisions of FEMA and RBI Regulations in this regard.	per RBI Notification dated 30.03.2018, a cross border merger undertaken in accordance with the RBI Cross Border Regulations shall be deemed to have prior approval of the RBI.
As per clause 10 and 19 of the Scheme, the share capital of the Transferee Company comprising of equity shares held by the Transferor Companies shall stand cancelled without any further application, act or deed. The reduction of capital of Transferee Company pursuant to the Scheme shall be given effect as an integral part of the Scheme without having to follow the process under Section 66 of the Act separately and the order of the NCLT sanctioning the Scheme shall be deemed to be also the order under Section 66 of the Act.	The cancellation of equity shares of the Transferee Company held by the Transferor Companies is in accordance with Clause 10 and Clause 19 of the Scheme.

(ii) Subsequently, the Petitioner company filed affidavit-cum-undertaking vide Diary No.02459/7 dated 18.11.2024 (which was taken on record vide this Tribunal Order dated 20.11.2024), the relevant extracts of which are reproduced below:

UNDERTAKING QUA REGIONAL DIRECTOR

7. That the Petitioner Company is also in receipt of a report of the Regional Director, Northern Region ('**RD**') dated October 24, 2024. The Petitioner Company most respectfully submits that since no specific objections or observations has been raised by the RD to the Scheme, the Petitioner Company is not required to make any further submissions in this regard.

8. However, in the interest of expediency, it is humbly submitted that the Petitioner company undertakes to perform all duties and obligations required to give effect to the merger, in strict adherence to all the laws, rules and other legal formalities that the office of the RD, or any other authority may stipulate, subject to its legal rights.

(II) OL

11. The OL filed its report vide Diary No. 02459/3, dated 27.09.2024, which was taken on record vide this Tribunal Order dated 04.10.2024. The OL in

para 2 of its report has mentioned that it had issued letter dated 30.08.2024 to the Transferor and Transferee Companies to provide information, which was received by the Transferee Company vide its letter dated 06.09.2024. Further, in para 12 of its report, the OL has mentioned its observation and reply of the Petitioner Company, which has been summarised in the Table below:

OL Observation	**Reply of the Transferee Company**
As per Section 234 of the Act read with Rule 25A of the CAA Rules, a foreign company incorporated in a jurisdiction outside India may merge with an Indian Company (Cross Border Merger) after obtaining prior approval from the RBI.	The RBI vide notification No. FEMA 389/2018-RBI dated 20.03.2018, issued the Foreign Exchange Management (Cross Border Merger) Regulations, 2018. As per Regulation 9(1) of the RBI Regulations, a Cross Border Merger taken in accordance with the RBI Regulations shall be deemed to have prior approval of the RBI as required under Rule 25A of the Companies Amalgamation Rules. Further, as per Regulation 9(2) of the RBI, Regulations, the Managing Director or the Whole Time Director and Company Secretary, if available, of the Company shall file a certificate with the National Company Law Tribunal ensuring compliance of the RBI Regulations. Hence, based on the RBI Regulations and the submission made above, the Petitioner Company states that the Scheme of Amalgamation of the Transferor Companies with the Petitioner Company is in accordance with the Foreign Exchange Management (Cross Border Merger) Regulations, 2018 and accordingly shall be deemed to have prior approval of RBI as required under Rule 25A of the Companies Amalgamation Rules. A copy of Certificate from two directors of the Company ensuring compliance with the Foreign Exchange Management (Cross Border Merger) Regulation, 2018, notified by the RBI vide notification No. FEMA 389/2018-RB dated March 20, 2018 as submitted by the Company along with its reply dated 06.09.2024 is annexed at Annexure R-1 to the Report.

No response to the OL report has been filed by the Petitioner Company till the issue of this Order.

(III) IT Department

12. In the hearing dated 25.10.2024, it was noted that the notice to the IT Department was served to the Nodal Officer, Aaykar Bhawan, Chandigarh, but the company head offices are in Gurgaon and it is stated to be assessed

at Mumbai. Therefore, the Petitioner Company was directed to serve fresh notice to the IT Department through the Principal Chief Commissioner, Gurgaon through registered post with a copy to the concerned assessing office at Mumbai and file an affidavit of service and the IT Department, if served was directed to file its reply/response. The Petitioner Company was also directed to file an affidavit, if there is any liability related to IT. The Petitioner Company filed affidavit of service vide Diary No. 02459/6 dated 18.11.2024, which was taken on record vide this Tribunal Order dated 20.11.2024. The IT Department filed its report vide Diary No. 02459/5 dated 18.11.2024 for the Petitioner Companies, which was taken on record vide this Tribunal Order dated 20.11.2024.

(i) The relevant extracts of the IT Department report in respect of the Transferor Company 1, Transferor Company 2 and Transferee Company are reproduced below:

Transferor Company 1

2. In this regard, it is submitted that M/s FIM Holdco I Limited having PAN: AABCF1510G (Non-Applicant Company No. 1/Transferor Company No. 1) is assessed to tax with ACIT, Circle 1(3)(1), Intl. Taxn. New Delhi.

3. As per the ITD/ITBA system database & E-filing portal, it is noticed that PAN AABCF1510G was allotted to Transferor company M/s FIM Holdco I Limited on 30.11.2007.

4. As per ITBA system, the transferor company has filed ITR only for 2 assessment years i.e. in AY 2023-24 & AY 2024-25. The details of ITR filed by the M/s. FIM Holdco I Limited having PAN: AABCF1510G is as under:

Particulars	AY	Date of filing of Return	Gross total Income/Loss (In Rs.)	Refund/Demand (In Rs.)
Details of ITR filed by the company	2023-24	30.10.2023	Nil	Nil
	2024-25	30.10.2024	Nil	Nil

5. As per the ITBA system database, it is also noticed that the transferor company i.e. M/s. FIM Holdco I Limited having PAN: AABCF1510G have Mauritius address.

6. The details of dues pending and status of pending proceedings in respect of the transferor company i.e. M/s FIM Holdco I Limited having PAN: AABCF1510G is as under: -

Particulars	AY	Date of order	Demand outstanding	Amount Collectible
Whether any dues are pending	2023-24	-	Nil	Nil
	2024-25	-	Nil	Nil
Whether any proceedings are pending		As per record available on ITBA system there is no proceedings pending in this case.		

Transferor Company 2:

2. In this regard, it is submitted that M/s Ariston Investment Sub A Limited PAN: AAGCA1546A (Non-Applicant Company No. 2/Transferor Company No. 2) is assessed to tax with A/DCIT, Circle 1(1)(1), Intl. Taxn. New Delhi.

3. As per the ITD/ITBA system database & E-filing portal, it is noticed that PAN AAGCA1546A was allotted to Transferor company M/s Ariston Investment Sub A Limited on 19.12.2006.

4. As per ITBA system, the transferor company has filed ITR only for 3 assessment years i.e. in AYs 2018-19, 2023-24 & AY 2024-25. The details of ITR filed by the M/s. Ariston Investment Sub A Limited having PAN: AAGCA1546A is as under:

Particulars	AY	Date of filing of Return	Gross total Income/Loss (In Rs.)	Refund/Demand (In Rs.)
Details of ITR filed by the company	2018-19	30.11.2018	(Rs.45,88,10,339)	Nil
	2023-24	30.10.2023	Nil	Nil
	2024-25	30.10.2024	Nil	Nil

5. As per the ITBA system database, it is also noticed that the transferor company i.e. M/s. Ariston Investment Sub A Limited having PAN: AAGCA1546A have Mauritius address.

6. The details of dues pending and status of pending proceedings in respect of the transferor company i.e. M/s Ariston Investment Sub A Limited having PAN: AAGCA1546A is as under: -

Particulars	AY	Date of order	Demand outstanding	Amount Collectible
Whether any dues are pending	2018-19	-	Nil	Nil
	2023-24	-	Nil	Nil
	2024-25	-	Nil	Nil
Whether any proceedings are pending		As per record available on ITBA system there are no proceedings pending in this case.		

Transferee Company:

2. The Transferee company i.e One World Center Private Limited (hereinafter, ``OWCPL") (PAN: AAICB7183L) is a company incorporated under the provisions of the Companies Act, 2013 and having its registered office at Plot No.422-B, Udyog Vihar, Phase-IV, Villege Dundahera, Gurugram, Haryana. OWCPL is assessed to income tax in the charge of Dy.CIT, Central Circle-6(4), Mumbai. The petition of scheme of compromise, Arrangement and amalgamation filed by the petitioner companies, namely FIM Holdco India Limited(Amalgamating Company 1), Ariston Investments Sub A Limited (Amalgamating Company 2) with "One World Center Private Limited (Amalgamated Company/ Petitioner Company).

3. Further, in pursuance of the direction of the Hon'ble Chandigarh Bench of the National Company Law Tribunal in CA No. 246/CHD/HRY/2024 in CP (CAA) No. 30/CHD/HRY/2024 (2nd Motion) seeking sanction of the scheme of amalgamation between FIM Holdco 1 Ltd. (Transferor Company 1)and Ariston Investments Sub A Limited (Transferor Company 2) with One World Center Private Limited (Transferee Company) and their respective shareholders and creditors, it is stated, on behalf of jurisdictional officer of Transferee compnay, that as per records available with this office, the undersigned has no specific comments or representation in respect of proposed scheme.

This may be brought to the notice of the Hon'ble NCLT, as directed.

(ii) The Petitioner Company also filed affidavit-cum-undertaking vide Diary No.02459/7 dated 18.11.2024 (which was taken on record vide this Tribunal Order dated 20.11.2024), the relevant extracts of which are reproduced below:

DETAILS OF EXISITING LIABILITIES UNDER THE INCOME-TAX, ACT, 1961

4. That the Petitioner Company submits the details of existing liabilitie under the Income-tax, Act, 1961, as **Annexure A**.

ANNEXURE-A

One World Center Private Limited

Summary of litigation / pending refunds under the Income-tax Act, 1961 as on 15 November 2024

FY	Matter	Stage	Total amount in dispute (Rs)	Existing Liabilities	Refund due (Rs)	Limitation date	Status
2020-21	Modified Order u/s 170A	AO	Nil	5,120	-	-	Open
2021-22	Intimation issued u/s 143(1)	AO	Nil	-	8,98,48,960	-	Open, pending with the assessing officer
2021-22	Rectification application against the assessment order	AO	-	Nil	-	31-Mar-24	Open, pending with the assessing officer
2022-23	Intimation issued u/s 143(1)	AO	Nil	-	4,35,46,018	-	Open, pending with the assessing officer
2022-23	Assessment proceedings u/s 143(2)	AO	-	-	-	31-Mar-26	Open

UNDERTAKING QUA INCOME TAX DEPARTMENT

5. The Petitioner Company submits that pursuant to the coming into effect of the Scheme, the Petitioner Company being the Transferee Company and domiciled in India will continue to exist, hence, no prejudice whatsoever will be caused to the Income-tax department by the sanctioning of the present Scheme. Needless to state, if the department believes that any tax event arises on account of the merger, there is no bar whatsoever upon the Income-tax department to proceed against the Transferee Company, for which the Transferee Company is obligated to respond, in accordance with law and its rights.
6. That being said, the Petitioner Company also undertakes to comply with the applicable provisions of the Income-Tax Act, 1961 and rules thereunder, and discharge all the applicable taxes, as may be required in accordance with law that arises in light of this Hon'ble Tribunal sanctioning the captioned Scheme of amalgamation.

(IV) RBI

13. The RBI filed its report dated 12.09.2024 vide Special Diary No. 410, which was taken on record vide this Tribunal Order dated 04.10.2024.

(i) The relevant extracts of the RBI report is reproduced below:

> "We submit that it is the duty of the companies undergoing compromise/arrangement/amalgamation to comply with the requirements of various laws including the rules, regulations and guidelines prescribed by Reserve Bank of India, viz., the companies may have to comply with Foreign Exchange Management Act, 1999, and the rules and regulations made there under. It is also submitted that as a regulator it will not be ethical on the part of RBI to vet individual cases, as it will preclude it from taking action on contraventions, if any, committed by such companies."

(ii) This Tribunal vide its Order dated 04.10.2024 directed to supply a copy of the report of RBI to the Ld. Counsel for the Petitioner Company

(iii) No response to the RBI report has been filed by the Petitioner Company till the issue of this Order.

(V) Competition Commission of India

14. This Tribunal vide Order dated 20.11.2024, directed the Petitioner Companies is to file an affidavit with respect to the exemption under Competition Act, 2002 giving the relevant Sections/Rules/Regulations along with supporting details within one week. In compliance to the above order dated 20.11.2024, the Petitioner company filed an affidavit vide Diary No. 02459/8 dated 17.01.2025, which is briefly reproduced herein below:

> 5. The Petitioner Company submits that at the time of filing the first and second motion petition with the Hon'ble Tribunal Regulation 4 of the erstwhile Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011 ('**CCI Regulations**') was in effect. The CCI Regulations provides that the categories of combinations mentioned in Schedule I of the CCI Regulations, are ordinarily not likely to cause an
>
> *"9. A merger or amalgamation of two enterprises where one of the enterprises has more than fifty per cent (50%) shares or voting rights of the other enterprise, and/or* ***merger or amalgamation of enterprises in which more than fifty per cent (50%) shares or voting rights in each of such enterprises are held by enterprise(s) within the same group****.*
>
> *Provided that the transaction does not result in transfer from joint control to sole control."*
>
> 6. The Petitioner Company submits that, the Non-Petitioner Companies, jointly hold 100% of the Petitioner Company and all the companies involved in the present Scheme are part of the same group. Their amalgamation thereby qualifies for the exemption available under Item 9 of Schedule I of the CCI Regulations.
>
> The control is already unified and remains unchanged, with no transfer from joint control to sole control. Thus, this Scheme does not require filing with the CCI under the Competition Act read with erstwhile CCI Regulations. A copy of the erstwhile CCI Regulations is enclosed as **ANNEXURE-A**.

7. The Petitioner Company further submits that the erstwhile CCI Regulations have recently been replaced with the Competition Commission of India (Combinations) Regulations, 2024, and the criteria for combinations that do not require prior notification to the CCI is contained in the Schedule to the Competition (Criteria for Exemption of Combinations) Rules, 2024 ('**Revised CCI Exemption Rules**').

8. Given that all companies involved in the present Scheme are part of the same group, prior notification to the CCI would not be required as a result of Rule 3 read with the exemption under Item 10 of the Schedule to the Revised CCI Exemption Rules, which are reproduced below for ready reference:

*"**3. Criteria for exemption of categories of Combinations.** — the categories of combinations which fulfil the criteria mentioned in the Schedule shall be exempted from the requirement to comply with sub-sections (2), (2A) and (4) of section 6 of the Act."*

Item 10 of the Schedule to the Revised CCI Exemption Rules:

"A merger or amalgamation of enterprises within the same group provided that the transaction does not result in change in control."

9. Given that there is no change in control and all the companies involved in the present Scheme are part of the same group, the exemption set out at Item 10 of the Schedule to the Revised CCI Exemption Rules applies to the Scheme. A copy of the Revised CCI Exemption Rules is enclosed as **ANNEXURE-B**.

(VI) Other Sectoral Regulators

15. The Petitioner Company have annexed with the Petition an affidavit dated 24.07.2024 stating that there is no other sectoral regulators/ authorities, to whom the notice is required to be served under section 230(5) of the Companies Act, 2013. The relevant extracts of the affidavit are reproduced below:

4. That Petitioner Company is not listed on stock exchange and therefore, is not governed by Securities and Exchange Board of India, hence, and it is not required to file any notice or obtain approval from any stock exchanges or Securities and Exchange Board of India.

5. That the Petitioner Company owns and operates one commercial property in Mumbai, Maharashtra. The construction in relation to the commercial property was completed before the introduction of the Maharashtra Real Estate Regulatory Act, 2015 ('**MahaRERA**') and no registration qua the same was required under. The Petitioner Company does not have any projects registered under the MahaRERA; hence, it is not required to file any notice or obtain approval from MahaRERA.

6. The present Scheme of Amalgamation does not meet the threshold limits as specified under Section 5 of the Competition Act, 2002 and hence, the same does not qualify as 'Combination' under the Competition Act, 2002 and will not require any filing of notice or obtaining approval from Competition Commission of India.

7. That there are no other sectoral regulators / authorities to whom notice is required to be served as per Section 230 (5) of the Companies Act, 2013 by the Petitioner Company.

8. That it is also pertinent to mention herein that there are no proceedings pending against the Petitioner Company in any court, forum, tribunal or quasi-judicial authority.

(**VII) Objection from stakeholder or general public**

16. The Petitioner Companies filed an affidavit dated 25.09.2024 vide Diary No. 2459/2 dated 01.10.2024 stating that no objection to the Scheme has been received by the Petitioner Company or Advocate on behalf of the Petitioner Company from the pubic on any of the addresses as mentioned in the notice for hearing. The relevant extracts of the affidavit are reproduced below:

6. That pursuant to directions given by the Hon'ble Tribunal *vide* its order dated August 9, 2024, the notice of hearing of the above petition has been published in the newspapers viz, "The Indian Express (English)" and "Jansatta (Hindi)" having circulation in the state of Haryana by Petitioner Company not less than 10 days before the next date fixed for the hearing i.e., October 4, 2024. A copy of the Notice published in, "The Indian Express (English)" and "Jansatta (Hindi)" having circulation in the state of Haryana on August 30, 2024 and August 31, 2024, respectively, is annexed herewith as **Annexure A-1** of the affidavit of service and compliance filed with the Hon'ble Tribunal on September 24, 2024.

7. That I submit that till date, no objection to the Scheme has been received by the Petitioner Company or the Advocate on behalf of the Petitioner Company from the public, on any of the addresses, as mentioned in the notice of hearing.

17. The certificate of the Statutory Auditor to the effect that the accounting treatment proposed in the Scheme is in compliance with the applicable accounting standards and other Generally Accepted Accounting Principles in India was filed as Annexure A-25 of the Petition. The relevant extract of which is reproduced below:

Opinion

8. Based on our examination as above and according to the information and explanations given to us, along with the representations provided by the management, in our opinion, the proposed accounting treatment specified in clause 12 and Clause 21 of the Draft Scheme, attached herewith and stamped by us for identification only, is in compliance with the applicable accounting standards and other generally accepted accounting principles in India.

ANALYSIS AND FINDINGS

18. We have heard the Ld. Counsel for Petitioner Company and Ld. Senior Standing Counsel for the Income Tax Department as well as Company Prosecutor for the RD/ RoC and have perused the record submitted by the Petitioner Companies as well as the Statutory Authorities carefully.

Petition Before Mauritius Court

19. During the hearing dated 20.11.2024, *the Ld. Counsel of the Petitioner Company submitted that both the Transferor Companies, being the foreign*

companies under the Companies Act, 2013, are Non-Petitioner Companies and therefore petition for approval of scheme has been filed in the Mauritius Court, which has the jurisdiction over Transferor Companies. Ld. Counsel was directed to submit a copy of the order of the Mauritius Court approving the merger of the Transferor Companies with the Transferee Company. In compliance to the above order dated 20.11.2024, the Petitioner company filed an affidavit vide Diary No. 02459/8 dated 17.01.2025, the relevant extracts of which are reproduced herein below:

PROVISIONS IN MAURITIUS RELATING TO AMALGAMATING COMPANIES AS MENTIONED IN THE SCHEME

10. The Petitioner Company respectfully submits that this Hon'ble Tribunal, *vide* its order dated November 20, 2024, directed the Petitioner Company to submit a copy of the order from the Mauritius Court approving the merger of the Transferor Companies, ie, Non-Petitioner Companies with the Transferee Company, ie, the Petitioner Companies.

11. The Petitioner Company further submits that, as of this stage, no formalities have been initiated in Mauritius by the the Transferor Companies, ie, Non-Petitioner Companies. The formal process in Mauritius will be commenced only upon receipt of approval of the scheme by the Hon'ble Tribunal. The effectiveness of the Scheme is conditional upon undertaking the requisite formalities in Mauritius. The Non-Petitioner Companies have been awaiting the sanction of the Scheme by this Hon'ble Tribunal before initiating the necessary steps or formalities outlined in the Scheme to give effect to the merger in Mauritius. Consequently, there is currently no order from any court or authority in Mauritius that can be submitted to this Hon'ble Tribunal, making it impractical to comply with this direction issued on November 20, 2024, at this juncture.

12. The Petitioner Company further submits that, an identical scheme of amalgamation was filed before this Hon'ble Tribunal. In that case, all requisite formalities in Mauritius were initiated only after this Hon'ble Tribunal approved the scheme. The Hon'ble Tribunal had sanctioned the scheme *vide* order dated March 10, 2021, in the matter of C.P. (CAA) / 23 / CHD / HRY / 2019 (2nd Motion), which involved the amalgamation of FIM Holdco II Ltd (Transferor Company 1), Ariston Investments Sub B Limited (Transferor Company 2), and One International Center Private Limited (Transferee Company).

    A copy of the order dated March 10, 2021, approving the scheme of amalgamation by the Hon'ble Tribunal is attached as **ANNEXURE-C**, for ease of reference.

13. The Petitioner Company submits that, cross border merger applications between Mauritius companies and Indian companies is a routine affair and has been undertaken on numerous occasions by NCLT's including the matter as stated in Annexure C above by this Hon'ble Tribunal at Chandigarh as well. There have been several cases in the public domain out of which, we would like to draw your kind attention to couple of citations below:

- C.P. (CAA) / 47 (AHM) 2022 in the matter of scheme of amalgamation between Power Build Transmission International Limited (Mauritius) (Transferor Company) with Power Build Private Limited (Transferee Company) by the Hon'ble National Company Law Tribunal, Ahmedabad vide order dated May 17, 2023;

- C.P. (CAA) / 14 / MB-V / 2022 in the matter of composite scheme of amalgamation and arrangement among Bee Finance Limited, (Transferor Company) and KKR Capital Markets India Private Limited, (Transferee Company) and InCred Financial Services Limited, and KKR India Financial Services Limited by the Hon'ble National Company Law Tribunal, Mumbai vide order dated May 6, 2022.

Copies of the above orders is attached as **ANNEXURE-D**, for your ready reference.

20. It may be seen from the above that the submission in Petitioner Company affidavit filed vide Diary No. 02459/8 dated 17.01.2025 is contrary to their statement in the hearing dated 20.11.2024. We also note that in respect of Merger with Company incorporated outside Mauritius, the Part II of Fourteenth Schedule of The Companies Act, 2001[1] of Republic of Mauritius does not prohibit to initiate the simultaneous proceeding.

Cross Border Merger

21. The Petitioner Company has stated in the Petition that the Ministry of Corporate Affairs (hereinafter referred to as the "**MCA**") vide its notification dated 13.04.2017 notified the provision of Section 234 of the Act and the corresponding rules thereof. As per Section 234 of the Act read with Rule 25A

[1] Downloaded from the website of Corporate and Business Registration Department, A Department of the Ministry of Finance, Republic of Mauritius (https://companies.govmu.org/pages/legislations/companies-act-2001.aspx on 03.02.2025

of the CAA Rules, a foreign company incorporated outside India in a jurisdiction may merge with an Indian Company after obtaining prior approval from the RBI. The RBI vide notification no. FEMA 389/2018-RBI dated 20.03.2018 issued the Foreign Exchange Management (Cross Border Merger) Regulations, 2018 (hereinafter referred to as the "**Cross Border Regulations"**), Rule 9(1) of which provides that a Cross Border Merger undertaken in accordance with Cross Border Regulations shall be deemed to have prior approval of the RBI as required under Rule 25A of the CAA Rules. A copy of the certificate of the Petitioner Company, Transferor Company 1 and Transferor Company 2 ensuring compliance with the prescribed Cross Border Regulations has been annexed with the Petition as Annexure A-2, A-14 and A-20 respectively.

(i) We note that RBI in its report has preferred not to give approval in the matter on the ground that as a regulator it will not be ethical on the part of RBI to vet individual cases, as it will preclude it from taking action on contraventions, if any, committed by such companies.

(ii) During the hearing dated 20.11.2024, Ld. Senior Counsel for the Petitioner Company submitted that they are private limited companies and therefore they are not required to have any Managing Director or Full Time Director. It is further stated by learned Senior Counsel that there are only two directors in each of the companies, who have signed the certificates filed as Annexure A-2 at page no.72 with respect to the Transferee Company, as

Annexure A-14 at page no.261 with regard to the Transferor Company No.1 and as Annexure A-20 at Page No.296 with regard to the Transferor Company No.2. Subsequently, the Petitioner Company filed an affidavit vide Diary No. 02459/8 dated 17.01.2025, which is briefly reproduced herein below:

NON-APPLICABILITY OF APPOINTMENT OF MANAGING DIRECTOR, WHOLE-TIME DIRECTOR, OR COMPANY SECRETARY FOR THE PETITIONER COMPANY

14. The Petitioner Company submits that the provisions related to the appointment of a Managing Director or Whole-time Director, as prescribed under Section 196 of the Companies Act, 2013 ('**Cos Act**') are not applicable to private limited companies. This exemption is provided through the notification dated June 5, 2015, issued by the Ministry of Corporate Affairs ('**MCA Notification**'). A copy of the MCA Notification issued is enclosed as **ANNEXURE-E**.

15. The Petitioner Company further submits that it is not required to appoint a Company Secretary in accordance with provisions of Section 203 of the Cos Act, as it is a private limited company with a paid-up share capital of Rs 43,61,360 (Rupees Forty-Three Lakh Sixty-One Thousand Three Hundred Sixty) only. The Company Petitioner does not meet the applicability threshold of a paid-up share capital of Rs 10 crore or more, as specified under Rule 8A of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014. As per these rules, private companies with a paid-up share capital of Rs 10 crore or more are required to appoint a Company Secretary. Accordingly, the composition of the board of directors of the Petitioner Company is in full compliance with the provisions of the Companies Act, 2013. A copy of the master data of the Petitioner Company is enclosed as **ANNEXURE-F**.

16. The Petitioner Company also submits that the Non-Petitioner Company 1 and Non-Petitioner Company 2 ('**Non-Petitioner Companies**'), being incorporated in Mauritius, are not subject to the provisions of the Indian Cos Act, with respect to the appointment of a Managing Director, Whole-Time Director, or Company Secretary. As such, the provisions of the Indian Companies Act do not apply to them.

(iii) In the CAA Rules, Rule 25A was inserted vide the Companies (Compromises, Arrangements and Amalgamations) Amendment Rules, 2017) vide MCA Notification No.G.S.R.368(E) dated 13.04.2017 and was subsequently amended vide MCA Notification

No.G.S.R.401(E) dated 30.05.2022 and MCA Notification No. 555(E) dated 09.09.2024, which reads as below:

"**25A**. **Merger or amalgamation of a foreign company with a Company and vice versa.** –

(1) **A foreign company incorporated outside India may merge with an Indian company after obtaining prior approval of Reserve Bank of India and after complying with the provisions of sections 230 to 232 of the Act and these rules.**

(2) (a) A company may merge with a foreign company incorporated in any of the jurisdictions specified in **Annexure B** after obtaining prior approval of the Reserve Bank of India and after complying with provisions of sections 230 to 232 of the Act and these rules.

(b) The transferee company shall ensure that valuation is conducted by valuers who are members of a recognised professional body in the jurisdiction of the transferee company and further that such valuation is in accordance with internationally accepted principles on accounting and valuation. A declaration to this effect shall be attached with the application made to Reserve Bank of India for obtaining its approval under clause (a) of this sub-rule.

(3) The concerned company shall file an application before the Tribunal as per provisions of section 230 to section 232 of the Act and these rules after obtaining approvals specified in sub-rule (1) and sub-rule (2), as the case may be.

[(4) Notwithstanding anything contained in sub-rule (3), in case of a compromise or an arrangement or merger or demerger between an Indian company and a company or body corporate which has been incorporated in a country which shares land border with India, a declaration in Form No. CAA-16 shall be required at the stage of submission of application under section 230 of the Act.

Explanation 1. For the purposes of this rule the term "company" means a company as defined in clause (20) of section 2 of the Act and the term "foreign company" means a company or body corporate incorporated outside India whether having a place of business in India or not:

Explanation 2. For the purposes of this rule, it is clarified that no amendment shall be made in this rule without consultation of the Reserve Bank of India.][2]

[(5) Where the transferor foreign company incorporated outside India being a holding company and the transferee Indian company being a wholly owned subsidiary company incorporated in India, enter into merger or amalgamation,

[2] Inserted vide MCA Notification No. G.S.R.401(E) dated 30.05.2022

(i) both the companies shall obtain the prior approval of the Reserve Bank of India;

(ii) the transferee Indian company shall comply with the provisions of section 233;

(iii) the application shall be made by the transferee Indian company to the Central Government under section 233 of the Act and provisions of rule 25 shall apply to such application; and

(iv) the declaration referred to in sub-rule (4) shall be made at the stage of making application under section 233 of the Act.][3],[4]

(iv) It is noted that before 2024 amendment, for a merger or amalgamation involving a foreign company and an Indian company, both companies had to first obtain approval from the Reserve Bank of India (RBI). After securing the RBI's approval, they also needed to approach the National Company Law Tribunal (hereinafter referred to as the "**NCLT**") for additional permissions. However, after 2024 amendment notified vide MCA Notification No. 555(E) dated 09.09.2024, the NCLT will not have jurisdiction over the merger in case transferee Indian company is wholly owned subsidiary of transferor foreign company. We note that in the present case the Transferee Indian Company One World Center Private Limited is wholly owned subsidiary of Transferor Foreign Companies, namely Fin Holdco I Ltd and Ariston Investment Sub A Limited as 100% shareholding of Transferee Company is held by Transferor Foreign Companies as per the details available in the audited financial statement of the Transferee Company and as per the list of Shareholders submitted by the Petitioner Company.

[3] Inserted vide MCA Notification No. 555(E) dated 09.09.2024.
[4] shall come into force from the 17.09.2024.

(v) However, we note that the sub-rue 5 to Rule 25A inserted in CAA Rules vide MCA Notification No. 555(E) dated 09.09.2024 shall come into force from 17.09.2024 and thus apparently, it appears that the same would not be applicable in the instant case. However, we are of the considered view that this Order shall be effective only after the approval of the RBI as the RBI in its report has preferred not to give approval in the matter on the ground that as a regulator it will not be ethical on the part of RBI to vet individual cases, as it will preclude it from taking action on contraventions, if any, committed by such companies.

22. Subject to the Petitioner Companies complying with the requirement of various laws including The Foreign Exchange Management Act, 1999 and Reserve Bank of India Act, 1934 along with the respective rules and regulations, the permission is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Company under Section 230 to 232 read with Section 234 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Petitioner Company and their Shareholders and Creditors. The Petitioner Company shall remain bound to comply with all the statutory requirements in accordance with law. The sanction is however, subject to the approval of merger of the Transferor Companies, which are situated in Republic of Mauritius, in accordance with the Mauritius Companies Act and other relevant laws of Republic of Mauritius.

23. Notwithstanding the submission that no investigation is pending against the Petitioner Company, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioner Company.

24. While approving the Scheme as above, it is clarified that this order should not be construed as approval by any Statutory Authorities viz. RBI, SEBI, CCI, RERAs etc. or any sectoral regulator; or construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges or payment of fee/ penalty etc., if any, due or required in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law.

25. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961, or serve as any exemption or defense for the Petitioner Company against Tax Treatment in accordance with the provisions of the Income Tax Act, 1961 and the rules and regulations made there under.

26. This Tribunal do further order:

(I) Upon the sanction becoming effective from the appointed date of amalgamation i.e. 01.04.2023, the Transferor Companies shall follow the necessary procedure as laid down under the laws of the Republic of Mauritius and this Order would be effective only after

the amalgamation of Transferor Companies with the Transferee Company is approved under the laws of Republic of Mauritius by following the due procedure under the Companies Act and other relevant laws of Republic of Mauritius;

(II) The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and would obtain approval of the Scheme from RBI as well as the merger of the Transferor Companies in accordance the Mauritius Companies Act and other relevant laws of Republic of Mauritius and submit the same to the office of Registrar of Companies;

(III) The Petitioner Companies shall deposit an amount of Rs.1,00,000/- with the Pay and Accounts Office in respect of the Regional Director Northern Region, Ministry of Corporate Affairs towards the legal fees and expenses of the Regional Director;

(IV) After approval of the Scheme from RBI as well as the merger of the Transferor Companies in accordance the Mauritius Companies Act and other relevant laws of Republic of Mauritius:

(a) all the property, rights and powers of the Transferor Companies be transferred, without further act or deed, to the Transferee Company and accordingly, be transferred to and vested in the Transferee Company for all the estate and interest of the Amalgamating Companies, but subject nevertheless to all charges now affecting the same;

(b) all the liabilities and duties of the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly be transferred to and become the liabilities and duties of the Transferee Company;

(c) the Transferee Company shall, without further application, allot to the existing members of the Transferor Companies, shares of Transferee Company to which they are entitled under the Scheme;

(d) all proceedings pending, if any, by or against the Transferor Companies be continued by or against the Transferee Company;

(e) all the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Amalgamating Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(f) all the tax liabilities and all the pending appeals and proceedings under the Income Tax Act, if pending against the Transferor Companies is transferred to the Transferee

Company and shall be enforced and continued against the Transferee Company and all compliances under Income Tax Act, 1961 shall be made by Transferee Company after the Appointed Date. Further, the Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies as well as the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. The Transferee Company is also directed to discharge the outstanding demand, if any, found later against the Transferor Companies;

(V) The Transferee Company on behalf of all the Transferor Companies will comply with all applicable laws, rules, regulations, compliances and to discharge all liabilities, if any, as and when the same falls due and payable in accordance with law;

(VI) The Transferee Company will clear all the pending statutory dues after exercising all Appellate jurisdictions and as per final orders. The Scheme shall not come in the way of the statutory authorities to recover any of their dues. All the contentions of the parties shall remain open before the relevant forum(s), where disputes are pending;

(VII) Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

27. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

28. The Company Petition bearing number CP(CAA) No.30/Chd/Hry/2024 is allowed, therefore the matter stands disposed of.

Sd/-
(Umesh Kumar Shukla)
Member (Technical)

Sd/-
(Harnam Singh Thakur)
Member (Judicial)

February 25, 2025

ASG/Vishesh